INSTITUTIONAL RESEARCH / 6 NOVEMBER 2026

Microsoft Investment Due Diligence

Microsoft's cloud growth is running ahead of its cash conversion

FY2026 revenue and operating cash flow rose. Cash spending on property and equipment climbed faster, so the economics depend on what the new capacity earns.

Field	Research scope
Company and security	Microsoft / MSFT
Sector and scope	Enterprise software and cloud infrastructure / Public equity
Research question	Can incremental cloud capacity produce cash returns after equipment, leases and partner credit exposure?
Disposition	Investigate further. Committee decision: defer.
Valuation result	$1,655.5B conditional enterprise value at the latest audited fiscal year-end.
Capital and return	No purchase price, allocation, sponsor IRR or MOIC is proposed.
Prepared by	Nexus Research Desk. Public evidence review. Independent sign-off pending.

Investment thesis

Azure and Microsoft 365 give Microsoft established distribution for AI. The underwriting case requires incremental capacity to generate durable cash returns after reinvestment.

Customer ramp timing, pricing pressure and large partner exposures can leave Microsoft funding capacity ahead of realized demand.

Require a lease-adjusted cash bridge and proof that incremental infrastructure earns its cost of capital under lower utilization.

The evidence standard separates audited and interim filings, issuer announcements and analyst assumptions. The proposed research horizon is five years. No investment confidence rating is assigned while material items remain open.

Abstract and Contents

This buy-side public-evidence review examines Microsoft across financial, commercial, operating, governance and valuation workstreams. FY2026 revenue and operating cash flow rose. Cash spending on property and equipment climbed faster, so the economics depend on what the new capacity earns. The research cutoff is 6 November 2026. The objective is to identify the evidence that would justify an investment decision and to distinguish demonstrated operating changes from hypotheses about future cash generation.

Cash capex grew $51.397B while operating cash flow grew $46.773B. The resulting cash-flow-after-capex proxy fell $4.624B even as operating profit increased. The first regular session after earnings was 2026-10-29. The three-session market-model CAR was -0.3%. That residual is evidence of relative movement over a short window. It cannot isolate management guidance, concurrent disclosures and sector repricing.

The model review traces cash flow to operating inputs and separates filed figures from assumptions. A linked three-statement forecast, verified financing terms and independent reviews are outside the available evidence. The conclusion is further work required. Require a lease-adjusted cash bridge and proof that incremental infrastructure earns its cost of capital under lower utilization. The risk register identifies a resolution and owner for each material finding, so a later review can test whether the original concerns were addressed before authorizing price or capital.

Keywords: investment diligence, Microsoft, cash conversion, source verification, scenario analysis.

Sections	Contents
1–3	Scope, workstream findings, governance and evidence protocol
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11–12	Reproduction notes, source references and open requests

1 Introduction and Scope

Posture: independent, buy-side-style research using public evidence. No mandate, offer, access to a virtual data room, management interview or committee approval is assumed.

Trigger: Microsoft's cloud growth is running ahead of its cash conversion. Can incremental cloud capacity produce cash returns after equipment, leases and partner credit exposure?

Dimension	Included	Excluded or limited
Period	Available audited history, matched interim data and disclosures through 6 November 2026.	Events after cutoff and unpublished records.
Entities	Named company and relevant disclosed operations.	Independent diligence on partners, JVs and minority holdings.
Workstreams	Financial, commercial, valuation, event, news, policy and operating screen.	Full contract, tax, cyber, HR and ESG assurance.
Evidence	Issuer and regulatory filings, dated announcements and market data where verified.	Private records, unconfirmed consensus forecasts and source data without dates.
Depth	Red-flag screen with explicit tests and decision gates.	Confirmatory audit, legal opinion and executable investment price.

Limitations and reliance

Audited fiscal years ended June 30. D&A historical proxy is the cash flow line "Depreciation, amortization, and other." Cash capex excludes noncash lease additions.

An untested hypothesis remains open. This report cannot establish the absence of unrecorded liabilities, undisclosed commercial exposures or a material adverse change in a contract that was not reviewed.

Research posture and decision boundary

Workstream leads should reproduce factual tests and escalate unresolved items before price, capital structure or contract terms are negotiated. No owner in the register is represented as having signed off.

2 Universal Workstream Findings

Headline conclusion: further work required. The scope is a public red-flag review. Materiality is high when a finding can change sustainable cash flow, funding capacity, control or a pricing decision. Medium items affect interpretation but do not independently establish a valuation change.

FIN-01 6A High

Cash capex grew $51.397B while operating cash flow grew $46.773B. The resulting cash-flow-after-capex proxy fell $4.624B even as operating profit increased.

Resolution: Reconcile recurring earnings and cash before pricing. Owner: Finance. Timing: before committee. Source context

MOD-01 6B High

Projected working capital and cash reinvestment lack independently verified schedules.

Resolution: Rebuild or withhold the valuation until inputs tie to evidence. Owner: Model lead. Timing: before committee. Evidence: calculation or workpaper in Module 6B.

EVT-01 6C Medium

Three-session CAR -0.3%. Confounding disclosures remain.

Resolution: Treat the event as context. Re-test against a sector benchmark when supported. Owner: Quant. Timing: before committee. Issuer release

NWS-01 6D High

Microsoft disclosed $24.1B of FY2026 commercial revenue from arrangements with OpenAI, including revenue sharing, and a $6.0B receivable at year-end. Assess collection risk independently of the investment position.

Resolution: Escalate for contract or filing review and revise cash assumptions if supported. Owner: Research. Timing: before committee. Source context

POL-01 6E High

Review cloud and AI competition, data handling and incident controls. Monitor partner contract changes and related-party accounting.

Resolution: Model verified compliance or distribution changes separately before underwriting. Owner: Legal. Timing: before committee. Source context

OPS-01 6F High

Reconcile cash capex, noncash finance-lease additions and committed capacity. Review contract durations, guarantees, payment terms and collateral independently of the investment position. A partner can support reported growth while adding collection and financing risk.

Resolution: Obtain capacity and obligations schedules, then stress funding. Owner: Operations. Timing: before committee. Source context

3 Governance SOP and Information Sources

R = responsible. A = accountable. C = consulted. I = informed. These are proposed roles for follow-up, not evidence of staffing or sign-off.

Activity	Deal lead	Workstream	Counsel	Advisor	IC
Scope and requests	A	R	C	C	I
Evidence and tests	C	R	C	R	I
Red flag escalation	R	R	C	C	A
Resolution design	R	C	R	C	A
Sign-off	R	C	C	C	A

Phase	Procedure	Output
Triage	Locate filings, date market data and identify unresolved risks.	Initial scope and hypotheses.
Confirmatory	Rebuild figures, freeze assumptions, test sensitivities and inspect signed terms.	Reproducible tests and evidence log.
Resolution	Choose model adjustment, contractual protection, holdback or evidence-based risk acceptance.	Documented committee decision.

Information source	Used for	Limit
Issuer filing or equivalent	Reported financials and disclosure review	Interim periods and commentary may be unaudited.
Issuer or partner announcement	News and financing context	Company-reported terms require independent confirmation.
Market data	Return, volume and event tests	No causal attribution from broad-market adjustment alone.
Financial workbook	Base scenario and controls	No linked three-statement build.

4 Target and Commercial Overview

Can incremental cloud capacity produce cash returns after equipment, leases and partner credit exposure?

Azure and Microsoft 365 give Microsoft established distribution for AI. The underwriting case requires incremental capacity to generate durable cash returns after reinvestment.

Business line	Monetization	Operating evidence to request
Cloud infrastructure	Consumption and contracted cloud demand	Utilization, contract conversion and cash capex
Enterprise productivity	Commercial subscriptions and paid AI features	Seats, price, attach and renewal
Other franchises	Gaming, search and device-related revenue	Segment margin and investment needs

Market opportunity and customer segmentation

Estimate TAM as eligible workloads or customers multiplied by addressable spending. Filter for reachable products, geographies and customer segments to estimate SAM. No single market-size number is supported by the evidence reviewed.

Bridge growth by volume, realized price, mix, acquisition and churn. Measure cohorts at a consistent starting date. Distinguish sold capacity from utilization, contract value from revenue, and subscription growth from changes in reporting mix.

Pricing power and retention

Benchmark Azure against AWS and Google Cloud on cloud growth and operating economics, while separately benchmarking subscription retention against software businesses. Consolidated EV multiples mix different businesses and must be normalized for leases and capital intensity.

Use renewal, discount and migration data to test switching costs. Long contracts can delay churn recognition. Check what happens when the buyer can switch at renewal and has measured performance from competing products.

Commercial disconfirmation

Customer ramp timing, pricing pressure and large partner exposures can leave Microsoft funding capacity ahead of realized demand.

Request comparable cohort metrics, concentration by channel and contract samples. Verify claims against dated filings, customer references and channel evidence. Document any commercial thesis that depends on management assertions alone.

4A Competitive Position and Industry Structure

The Five Forces ratings are analyst assessments of economic pressure. They are hypotheses for commercial testing.

Force	Pressure	Evidence and implications
Rivalry	High	AWS and Google Cloud compete for infrastructure workloads. Compare like-for-like capacity, availability and negotiated prices.
New entrants	Moderate	Power, data centers and enterprise distribution constrain new providers, while software and open models shift value across layers.
Suppliers	High	Accelerators, power and specialized capacity can constrain delivery. Review concentration and lease commitments.
Buyers	Moderate	Large customers negotiate aggressively and use more than one cloud. Migration and governance still create friction.
Substitutes	High	On-premises infrastructure, other clouds and smaller models can serve workloads more cheaply when performance requirements allow.

SWOT	Assessment
Strength	Enterprise distribution and recurring cloud and software demand.
Weakness	Capital intensity and partner-credit exposure make cash conversion harder to read.
Opportunity	Higher utilization and paid AI software attach can improve returns.
Threat	Capacity arrives ahead of demand or a major counterparty delays payment.

Benchmark and concentration checks

Benchmark Azure against AWS and Google Cloud on cloud growth and operating economics, while separately benchmarking subscription retention against software businesses. Consolidated EV multiples mix different businesses and must be normalized for leases and capital intensity.

Compare data at the same date and normalize reporting perimeters. Request top-customer and supplier shares, renewal dates and cancellation rights. Segment totals alone cannot establish customer-level concentration.

5 Thesis Hypotheses and Testing Plan

ID	Falsifiable hypothesis	Test and decision rule	Module
H1	Reported performance can be separated from one-off and cash timing effects.	Reconcile EBIT, net income and cash. Unexplained or recurring adjustments keep the claim open.	6A
H2	The model's operating bridge is consistent with its historical anchor.	Rebuild FCFF and compare capex intensity with history. A full linkage pass requires balance sheet and schedules.	6B
H3	The disclosure window contains movement beyond a broad market model.	Compare event CAR to estimation residual windows. Isolated attribution requires a credible confounder screen.	6C
H4	The disclosed event merits further diligence.	Check quantitative scale and qualitative change. Apply the analytical threshold as a triage test only.	6D
H5	A policy or contractual shock has a measurable downside channel.	Trace a defined cost shock to cash or enterprise value. A policy estimate requires verified terms.	6E
H6	Material operating commitments can be funded in a downside.	Request timed obligations, utilization and signed financing. No pass without evidence of liquidity coverage.	6F

Hypothesis discipline

A reproduced identity does not confirm sustainability. A quantified sensitivity does not establish probability. Review the disposition of each hypothesis in Section 9.

6A Forensic Filing and Financial Review

USD millions except ratios. Annual periods are audited. TTM includes unaudited interim figures. It uses prior fiscal year plus current interim less comparable prior interim.

Metric	FY2024	FY2025	FY2026	TTM 30 Sep 2026
Revenue	245,122	281,724	331,839	346,445
Revenue growth	—	14.9%	17.8%	—
Gross profit	171,008	193,893	225,465	234,394
Gross margin	69.8%	68.8%	67.9%	67.7%
EBITDA proxy	130,391	157,961	193,771	205,322
EBITDA proxy margin	53.2%	56.1%	58.4%	59.3%
Operating income / EBIT	109,433	128,528	155,237	163,191
Net income	88,136	101,832	133,749	142,631
Operating cash flow	118,548	136,162	182,935	195,878
Cash capex	44,477	64,551	115,948	135,921
OCF less cash capex	74,071	71,611	66,987	59,957
Net debt	Not bridged	Not bridged	Not bridged	Not bridged

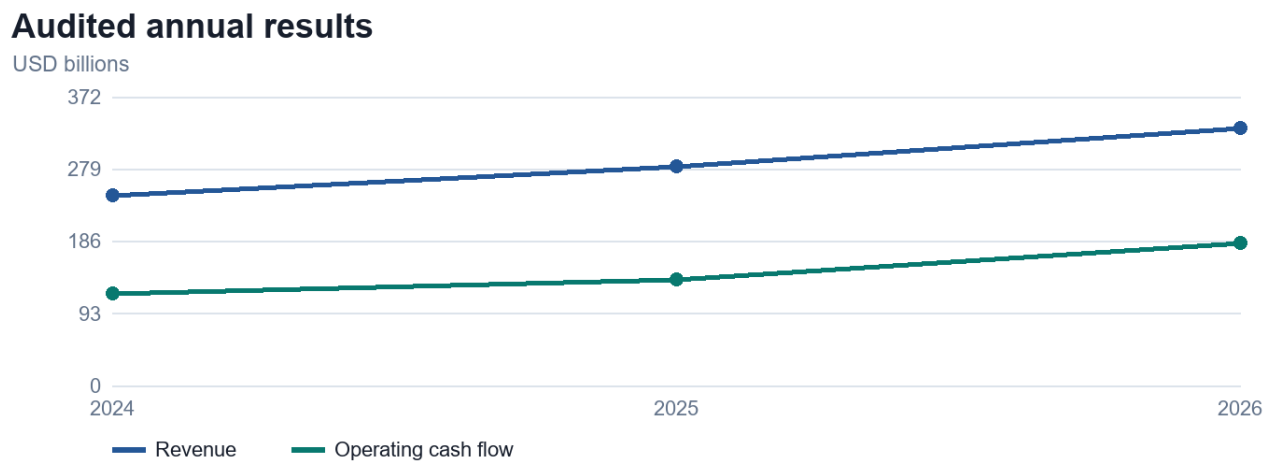


Figure 1. Reported annual figures. EBITDA adds the stated depreciation or D&A proxy to EBIT. The cash proxy differs from forecast FCFF.

6A Filing Map and Accounting Review

Annual statements and disclosures form the anchor. Compare the latest audited Form 10-K with management's discussion and the next available comparable Form 10-Q where applicable.

Location	Diligence relevance	Verification action
10-K Items 1 and 1A	Business, concentration and risk factors	Map exposure to assumptions and risk register.
10-K Item 7	MD&A and segment drivers	Tie reported growth to segment changes and cash-flow drivers.
10-K Item 8	Statements and accounting notes	Tie audited values, taxes, stock compensation and contingencies.
10-Q Part I Items 1 and 2	Interim statements and MD&A	Bridge TTM only when interim periods are comparable.

Narrative versus financial evidence

Cash capex grew $51.397B while operating cash flow grew $46.773B. The resulting cash-flow-after-capex proxy fell $4.624B even as operating profit increased.

Separate core operating income from recognized investment gains and losses. Microsoft disclosed $24.1B of FY2026 commercial revenue from OpenAI arrangements and a $6.0B receivable. The year-end balance divided by annual related revenue is a concentration screen, not days sales outstanding.

Accounting area	Review outcome or required test
Revenue recognition	Trace reported segment and net/gross presentation to contracts. Contract-level cutoff unavailable.
Compensation and useful lives	Review revisions, stock expense and depreciation assumptions over comparable periods. No comprehensive policy-change audit completed.
Allowances and contingencies	Reconcile collectibility, related-party claims and legal estimates with cash or subsequent disclosures.

6A Quality of Earnings and Liquidity

Separate core operating income from recognized investment gains and losses. Microsoft disclosed $24.1B of FY2026 commercial revenue from OpenAI arrangements and a $6.0B receivable. The year-end balance divided by annual related revenue is a concentration screen, not days sales outstanding.

Reconcile cash capex, noncash finance-lease additions and committed capacity. Review contract durations, guarantees, payment terms and collateral independently of the investment position. A partner can support reported growth while adding collection and financing risk.

Test	Procedure	Evidence standard
Revenue recognition	Tie reported revenue to contracts, service periods and cash receipts.	Inspect deferred revenue and cutoff.
Exceptional items	Bridge EBIT and net income. Isolate financing or fair-value effects.	Quantify adjustments and justify recurring treatment.
Working capital	Bridge receivables, inventory, payables and customer prepayments.	Confirm same-season comparisons and post-period cash.
Reinvestment	Separate cash capex, leases, hosting costs and prepayments.	Verify timing and contract definitions.
Liquidity	Bridge unrestricted cash and funding to maturities and commitments.	Require signed facilities and availability checks.

Cash conversion bridge

Cash capex grew $51.397B while operating cash flow grew $46.773B. The resulting cash-flow-after-capex proxy fell $4.624B even as operating profit increased.

Across the annual window, cash capex moved from 18.1% to 34.9% of revenue. Operating cash flow less cash capex moved from $74.1B to $67.0B. This bridge excludes noncash lease additions, acquisitions and financing flows.

Unresolved reconciliation

Normalize cash conversion before underwriting a margin. Record the timing of each material obligation and compare collection periods with the cash required to deliver contracted capacity. Any proposed price remains contingent on this reconciliation.

6B Financial Model and Valuation Review

Five annual unlevered cash flows are discounted to the latest audited fiscal year-end. The assumed discount rate is an analyst scenario input. The resulting operating enterprise value has no equity bridge or dated executable price.

Driver	Base assumption	Diligence implication
Revenue growth	13.0%	Applies to the audited base over five years.
EBIT margin / tax	45.0% / 21.0%	Tax applies to modeled operating income.
D&A / capex	13.5% / 34.0%, 33.0%, 31.0%, 29.0%, 27.0%	Capex path drives cash conversion and terminal reinvestment.
Incremental NWC	4.0% of revenue change	Reconcile to normalized working capital.
Discount / terminal growth	9.5% / 3.0%	Growth must stay below discount. Terminal FCFF must be positive.

Method	Downside	Base	Upside
DCF enterprise value	$834.0B	$1,655.5B	$2,615.2B
Trading multiples	Withheld	Withheld	Withheld
Precedents and LBO	Withheld	Withheld	Withheld

Discounted terminal value is $1,328.7B, or 80% of the base result. The downside cuts annual growth four percentage points and margin three points, adds three capex points and raises discount 150 basis points. The upside adds three growth points and two margin points, cuts capex two points and lowers discount 100 basis points.

Market comparables and entry discipline

Benchmark Azure against AWS and Google Cloud on cloud growth and operating economics, while separately benchmarking subscription retention against software businesses. Consolidated EV multiples mix different businesses and must be normalized for leases and capital intensity.

Calculate EV / revenue, EBITDA and EBIT only after aligning fiscal periods and adjusting leases and nonoperating investments. P/E and free cash flow yield require a defensible equity basis. No maximum price or margin of safety is estimated.

6B Linkage and Driver Tests

The companion workbook is an operating FCFF and enterprise-value model where sufficient inputs exist. It has no fully linked balance sheet, retained earnings, debt, revolver or cash flow statement rollforward. A three-statement balance vector is therefore unavailable.

Test	Result	Diligence read-through
Base FCFF trace	Reproduced	Independent enterprise value $1,655.5B. Compare with the workbook base.
Revenue growth reset to zero	$964.9B	Tests demand dependence while holding margin and capex ratios constant.
Cash capex +2 percentage points	$1,495.9B	Tests cash sensitivity without assuming an automatic revolver.
Terminal growth equals discount	Blocked	Invalid perpetuity returns no valuation.
Assets less liabilities and equity	Unavailable	No linked balance sheet or period-by-period capital structure.

Driver trace and calibration

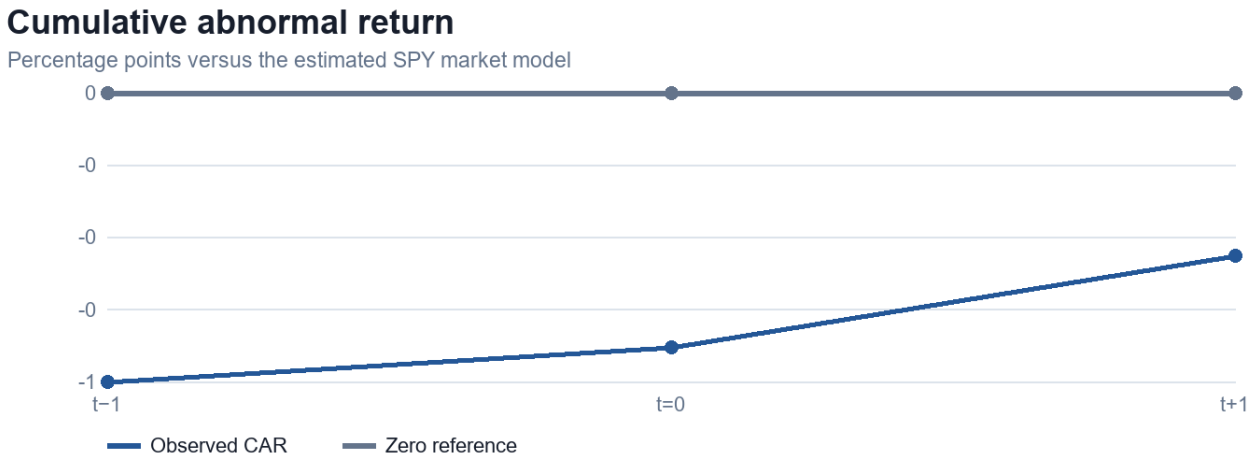
Latest audited cash capex is 34.9% of revenue versus the model's 34.0% in the first forecast year. Forecast growth and operating margins are scenario inputs rather than customer cohorts or a price-times-volume build.

A full validation requires receivable, inventory and payable days, a PP&E schedule, equity and debt rollforwards, and a cash-to-balance-sheet reconciliation. The inputs should be rebuilt before this scenario is used for a financing decision.

6C Stock Movement and Event Study

FY2027 first-quarter earnings was released on 2026-10-28. Event day t=0 is 2026-10-29, the next regular trading session. Use the [-1,+1] close-to-close window and fit OLS on 100 prior sessions from 2026-05-08 through 2026-09-30 (t−120 through t−21). The benchmark is SPY adjusted daily return.

Trading session	Actual	Expected	Abnormal	CAR	Volume / base
2026-10-28	-0.1%	0.6%	-0.6%	-0.6%	0.96x
2026-10-29	-0.2%	-0.2%	0.1%	-0.5%	1.33x
2026-10-30	-1.6%	-1.7%	0.2%	-0.3%	1.20x



Event figure. Normal returns equal estimated intercept plus beta times contemporaneous SPY return.

Training beta was 1.08. Daily residual volatility was 2.3%. Three-session placebo CARs ranged from -5.5% to 12.6% at their 2.5th and 97.5th percentiles. The two-sided empirical exceedance rank was 88.9%. Overlapping placebo windows make this a descriptive benchmark, not an independent significance test.

Alphabet released results on the same evening. Shared cloud and AI repricing may survive broad-market adjustment. Volume is divided by the estimation-window median. Bid-ask spreads, consensus EPS, SUE and persistent drift were not verified or tested.

6D News and 6E Policy Impact

Disclosure and materiality screen

Microsoft disclosed $24.1B of FY2026 commercial revenue from arrangements with OpenAI, including revenue sharing, and a $6.0B receivable at year-end. Assess collection risk independently of the investment position.

Disclosed OpenAI-related commercial revenue represented roughly 7.3% of FY2026 consolidated revenue. The amount identifies concentration for diligence. It does not show expected loss on the receivable.

Disclosure sufficiency, legal materiality, timing and contractual remedies require counsel. No material adverse change determination is made without a signed contract.

Policy baseline and impact channels

Review cloud and AI competition, data handling and incident controls. Monitor partner contract changes and related-party accounting.

Case	Transmission and evidence
Status quo	Hold the base operating assumptions. Identify existing obligations and rights.
Adopted or disclosed change	Verify effective dates and contractual scope. Trace pricing, volume, compliance expense and capex.
Delayed implementation	Shift the timing of cash costs and adoption. Do not assume delay eliminates cumulative cost.
Stricter downside	Stress lower pass-through, higher compliance or capacity expense, and lower retention.

An isolated one-percentage-point operating margin reduction lowers modeled EV by $63.0B. This is an exposure test, not an estimate of a specific rule’s cost. The verified rule and pass-through inputs remain open.

6F Operational Technical and Financing Diligence

No sponsor buyout is assumed. Review the maturity ladder, lease obligations and cash investment alongside recurring enterprise cash generation.

No control transaction is assumed. The sponsor template therefore serves as an evidence checklist.

Transaction item	Status	Required evidence
Entry EV and equity price	Unassigned	Signed price and cash, debt, lease and preferred-security bridge.
Sponsor equity and rollover	Unassigned	Sources and uses, management rollover and dilution.
Debt structure	Unassigned	Commitments, covenants, availability and downside coverage.
Fees and exit multiple	Unassigned	Transaction cost schedule and dated exit evidence.
MOIC and IRR	Withheld	Verified equity cash flows, exit proceeds and holding period.

Debt capacity and cash waterfall

Model unrestricted opening cash, operating receipts, capital outflows, contractual payments and refinancing dates by quarter. Set a minimum cash balance. Apply interest and mandatory amortization before discretionary distributions.

Stress utilization, pricing and investment together. Compare interest coverage on operating cash and EBITDA bases. Obtain the contractual definition and any cure rights before interpreting a coverage shortfall as covenant risk.

Value creation and exit

Require a lease-adjusted cash bridge and proof that incremental infrastructure earns its cost of capital under lower utilization.

Tie organic growth to customers and net prices. Tie efficiency to measured unit cost, and working capital to actual collections and supplier timing. Validate public-market liquidity or transfer restrictions before underwriting an exit.

7 Statistical Testing and Quantitative Analysis

Sample: 81 complete monthly returns from February 2020 through October 2026 for the company and SPY. USD adjusted closes were aligned by month. The incomplete November observation was excluded. Metadata, positive prices and complete matching dates were checked.

Metric	Result	Interpretation
Annualized return	19.1%	Geometric return. SPY 15.1%.
Annualized volatility	25.5%	Monthly sample deviation scaled by square root of 12.
Maximum drawdown	-30.5%	Month-end peak to trough. Intramonth losses may be larger.
Correlation / tracking error	0.64 / 19.7%	Aligned asset and SPY returns.
95% VaR / expected shortfall	8.5% / 11.5%	One-month empirical estimates. Shortfall uses 5 observed tail months.
Sharpe and Sortino	Withheld	No matched monthly risk-free or required-return series used.

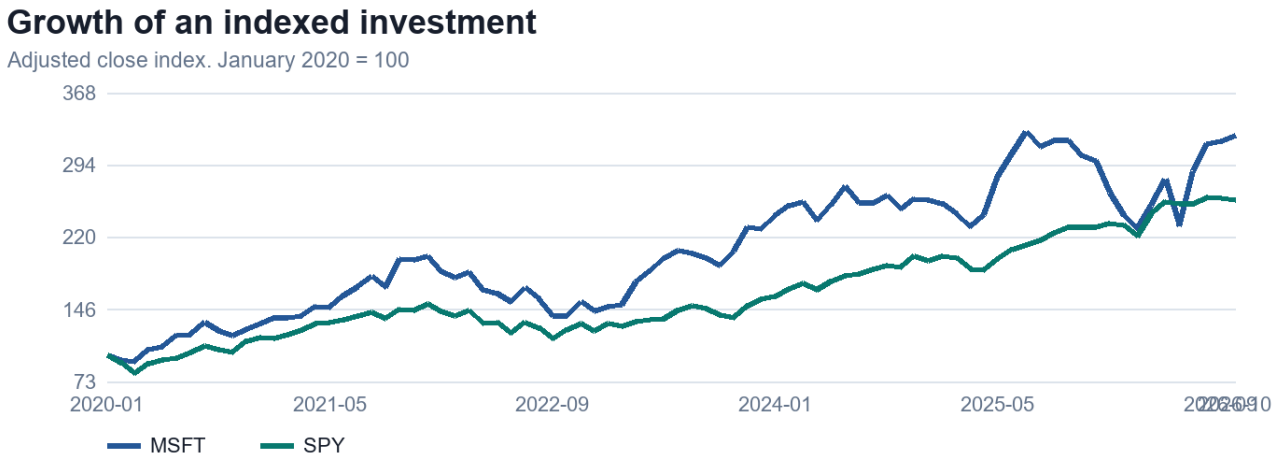


Figure 2. Yahoo Finance adjusted monthly closes. SPY represents broad U.S. equity risk.

Monthly mean 1.7%, median 1.5%. Extreme returns were retained. The fixed-company sample is descriptive and includes no trading costs, taxes or leverage.

8 Findings Graphs and Stress Tests

Fit asset returns on an intercept and contemporaneous SPY return using 47 months through December 2023. Freeze the coefficients and evaluate 34 months from January 2024 through October 2026. The holdout measures conditional sensitivity using realized SPY returns. It does not forecast market or asset returns.

Test	Result	Interpretation
Training beta	0.88	Paired three-month block bootstrap 95% interval 0.74 to 1.14. 2,000 draws, seed 20261106.
Holdout beta	1.32	Estimated separately to check exposure drift.
Conditional holdout RMSE	7.0%	One-for-one SPY benchmark RMSE 6.9%.
Valuation boundary	Passed	Growth at or above discount withholds enterprise value.

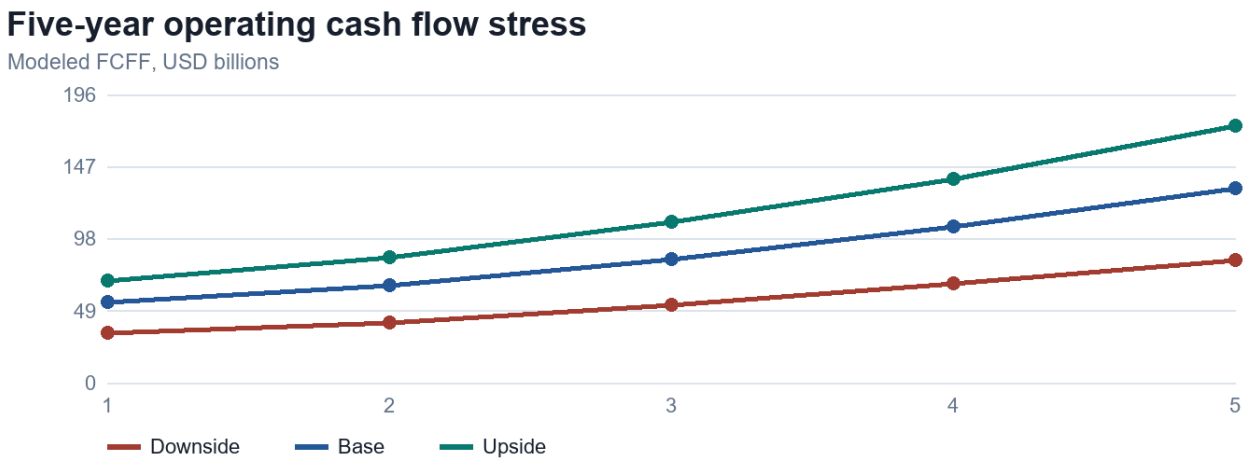
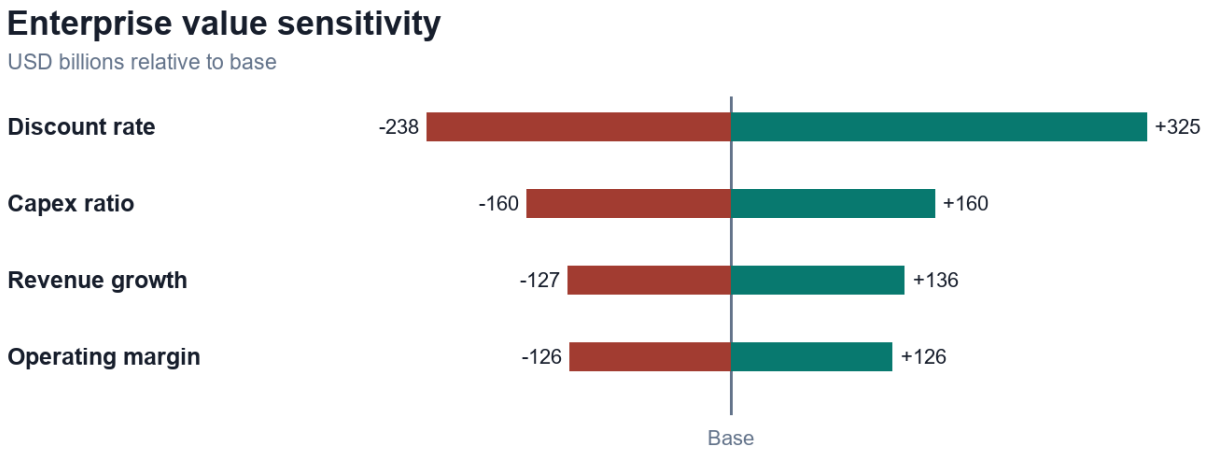


Figure 3. Scenario cash flows exclude the terminal value.

The single-market regression omits industry and style factors. One temporal split and a short tail sample limit inference. No statistical claim about future alpha, strategy performance or economic causation is made.

8A Sensitivity and Resolution Evidence

Driver	Lower EV	Base	Higher EV
Discount rate	$1,417.6B	$1,655.5B	$1,980.7B
Capex ratio	$1,495.9B	$1,655.5B	$1,815.1B
Revenue growth	$1,528.3B	$1,655.5B	$1,791.3B
Operating margin	$1,529.4B	$1,655.5B	$1,781.5B



Tornado. Each pair moves one driver while keeping all other assumptions at base. Operating inputs move by two percentage points. Discount rate moves by 100 basis points.

Interpretation

Within the stated shock ranges, discount rate produces the widest EV range. Compare the scenario ranges with the evidence quality behind each driver. The ranking is conditional on the chosen shock sizes and the fiscal-year anchor.

8B Governance Management and ESG Findings

Review cloud and AI competition, data handling and incident controls. Monitor partner contract changes and related-party accounting.

Workstream	Evidence and review
Registration and ownership	Verify registrant, board appointments, voting rights and fully diluted capitalization.
Contracts and counterparties	Review renewal, capacity, cancellation, security and change-of-control provisions.
Litigation and regulation	Reconcile filings with court and regulator records. Obtain counsel's review of remedies and exposure.
IP and cybersecurity	Verify licenses, contributor rights, data processing, incident history and control ownership.
Tax and compliance	Review transfer pricing, tax audits, sanctions controls and anti-bribery compliance.
Environmental and labor	Review energy and site obligations, supplier labor exposure and material commitments.

7A Closing gate

No legal sign-off is recorded. Track open matters with a dated source, owner and materiality threshold. Compare enforcement and settlement outcomes with cash capacity.

8 Management Due Diligence

Review management's capital allocation against realized utilization, annual cash generation after reinvestment and contract conversion. Incentives tied only to cloud growth could reward capacity growth before customer demand supports it.

A definitive management rating is withheld pending independent interviews and documentary evidence. Assess prior forecasts against delivery and compare incentive metrics with cash returns, product resilience and risk controls.

Succession and decision rights

Confirm approvals for new capital, strategy and related-party contracts. Review executive succession, employee retention and whether minority investors receive information needed to challenge material decisions.

9 Risk Register and Resolution Mechanisms

ID / module	Materiality	Resolution	Owner / timing
FIN-01 / 6A	High	Reconcile recurring earnings and cash before pricing.	Finance / before committee
MOD-01 / 6B	High	Rebuild or withhold the valuation until inputs tie to evidence.	Model lead / before committee
EVT-01 / 6C	Medium	Treat the event as context. Re-test against a sector benchmark when supported.	Quant / before committee
NWS-01 / 6D	High	Escalate for contract or filing review and revise cash assumptions if supported.	Research / before committee
POL-01 / 6E	High	Model verified compliance or distribution changes separately before underwriting.	Legal / before committee
OPS-01 / 6F	High	Obtain capacity and obligations schedules, then stress funding.	Operations / before committee

Each ID links to the quantified finding in Section 2 and the test in its source module. No contractual protection is assumed to have been negotiated.

9A Hypothesis Disposition

Hypothesis	Disposition	Reason or next evidence
H1 Earnings quality	Partially supported	Reported figures can be reconciled within the stated perimeter. Sustainability still requires underlying records.
H2 Model linkage	Limited pass	FCFF and valuation checks cover the available operating model. Three-statement linkage is untested.
H3 Event attribution	Descriptive only	CAR -0.3%. Confounders prevent isolated attribution.
H4 Materiality screen	Escalate	Quantitative and qualitative triage supports further review. Counsel has not concluded legal materiality.
H5 Policy sensitivity	Scenario only	Verified implementation, pass-through and cash-flow terms remain open.
H6 Downside funding	Open	Obtain signed obligations and available financing before testing coverage.

Risk	Likelihood	Impact	Mitigation	Owner
Capacity utilization	High	Lower cash return on capex	Tie new capacity to contracted demand	Infrastructure
Partner receivables	High	Credit and concentration	Stress collections and settlements	Treasury
Cloud competition	Medium	Price and gross margin	Compare realized rates and unit cost	Commercial
Revenue slowdown	Medium	Growth and cash	Run a channel-level downside	Finance
Margin compression	High	Cash conversion	Reconcile unit costs	Finance
Valuation compression	Medium	Exit or entry basis	Stress price and capital structure	Research
Estimation error	High	False precision	Independently recalculate inputs	Risk

Ratings are qualitative judgments. Quantify cash exposure only after verifying obligation timing, recoveries and the relevant downside assumptions.

10 Conclusion and Recommendations

FURTHER WORK REQUIRED. Committee disposition: defer. No entry price, required transaction return or capital allocation is proposed.

Azure and Microsoft 365 give Microsoft established distribution for AI. The underwriting case requires incremental capacity to generate durable cash returns after reinvestment.

Customer ramp timing, pricing pressure and large partner exposures can leave Microsoft funding capacity ahead of realized demand.

Require a lease-adjusted cash bridge and proof that incremental infrastructure earns its cost of capital under lower utilization.

Priority	Recommended work	Owner	Timing
1	Reconcile the financial evidence to normalized operating and cash performance.	Finance	Before price
2	Reconcile cash capex to lease-adjusted capacity commitments and test cloud utilization and OpenAI collections under a downside case.	Deal lead	Before committee
3	Resolve contracts, policy exposure and governance with signed evidence.	Legal	Before commitment
4	Reproduce the downside and record model limitations.	Model lead	Before sign-off

Methodological contribution

Linking a dated disclosure and financial evidence to explicit hypotheses, stress tests and named resolution actions lets a later reviewer distinguish an observable fact from an assumption that still needs testing.

Decision input	Finding
Evidence-supported strength	Enterprise distribution and recurring cloud and software demand.
Material weakness	Capital intensity and partner-credit exposure make cash conversion harder to read.
Unresolved questions	Cash additions to property and equipment and finance leases. Azure utilization, commercial backlog and margins. OpenAI receivables and commercial concentration.
Deal breaker	Require a lease-adjusted cash bridge and proof that incremental infrastructure earns its cost of capital under lower utilization.
Condition precedent	Reconcile cash capex to lease-adjusted capacity commitments and test cloud utilization and OpenAI collections under a downside case.
Exit	Public-market exit requires liquidity. Private exits require verified rights and timing.

Reopen the decision after the primary gate clears and an independent reviewer reproduces the downside case.

11 Appendices and Reproducibility

Research cutoff 6 November 2026. Source dates and reporting periods are identified below. Confidence refers to the scope of the evidence and does not imply independent sign-off.

Evidence class	Reviewer role	Status
Annual and interim financials	Finance diligence	Audited inputs where available. Interim figures unaudited. Independent sign-off pending.
Issuer and counterparty claims	Research desk	Public evidence reviewed. Contract and commercial verification pending.
Scenario and market-risk tests	Model reviewer	Recalculated with disclosed inputs. External validation pending.
Legal, tax and governance	Legal diligence	Public-source review only. Signed agreements and counsel review pending.

Reproduce the analysis

Record the filing date, reporting period and units. For TTM, add current interim results and subtract comparable prior interim results from the latest fiscal year. Calculate FCFF as after-tax EBIT plus depreciation less cash capex and incremental working capital.

For market data, align complete adjusted months and calculate simple returns. Freeze training coefficients before comparing holdout errors. Retain the bootstrap seed and the exact split. For companies without a verified public series, reproduce the stated cost stress only.

Companion workbook: microsoft-due-diligence.xlsx. The workbook contains the existing base valuation model where applicable. This paper adds the trailing-period, joint-shock and market-risk analyses.

12 References

E01 FY2026 10-K · Consolidated Statements of Cash Flows

E02 2026-04-27 / Microsoft and OpenAI amend their agreement

E03 September 2026 Form 10-Q and trailing-period bridge

E04 MSFT adjusted closes from January 2020 through October 2026

E05 SPY adjusted closes for the same months

E06 Adjusted close definition and corporate actions

E07 Issuer release for 2026-10-28 event